

SMALL WONDER

With a strategic push towards low-cost deposits, this small bank is betting on the lucrative retail and MSME segments

BY RIDDHIMA BHATNAGAR

T **AMIL NADU-HEAD-QUARTERED** The Karur Vysya Bank's (KVB) goal is to prioritise retail and MSME loans with an emphasis on yields and granular loan book diversification. It also aims to maintain robust collection and recovery mechanisms to uphold asset quality.

Currently, the bank's commercial portfolio stands at 33%, with standalone MSME at 23% and retail also at 23%. In retail, housing loans and mortgage (loan against property or LAP) loans account for the big segments of the entire

retail loan book—at 45% and 21%, respectively.

However, in the cut-throat retail and MSME segments, there are big players to wean away customers. It is for this reason that the bank is focussing on low-cost current account and savings account (CASA) deposits. The bank's CASA ratio stood at 29% as of September 2024, lower than the average for most private sector banks.

Foreseeing a challenge, KVB established an exclusive sales vertical for accelerated acquisition of new-to-bank customers in the Li-

abilities segment through an increase in 'Feet on Street' marketing activity. It has adopted a segmented approach with exclusive sales teams focussing on separate segments. MD & CEO B. Ramesh Babu says KVB has launched 24 new CASA products tailored to different customer segments. "Concurrently, efforts have been made to strengthen the branch network to deepen relationships with Existing to Bank (ETB) customers by addressing their needs. With strategic initiatives in deposit mobilisation, term deposits have grown by 20% year-on-year (YoY) at the end of September 2024," he adds.

KVB's focus is on the MSME sector, and in that they aim to increase digital lending and providing funding solutions, among others. "We want to expand into underpenetrated markets (via digital and physical channels), continue to foster partnerships with NBFCs/fintechs for co-lending, and reinforce compliance frameworks," says Babu.

Per the BT-KPMG study, the bank has secured the highest rank in asset quality with net Non-Performing Assets (NPAs) at 0.40% of advances and has retained its position as the Best Small Bank. The return on capital employed (ROCE) is also the highest in the category.

"The bank continues to deliver strong earnings growth, with PAT and peer-best RoA at 1.7%, driven by strong and stable margins at 4.1%, contained opex (operational expenses), and higher recoveries. Credit growth moderated due to the strategy to pull out from the low-yielding corporate book and deceleration in the PL/VF book," says financial services firm Emkay Global Financial Services.

Anand Rathi, another financial services firm, attributes stable NIM and a strong traction in non-interest income for a sturdy Q2 operating performance.

TOP 5 SMALL INDIAN BANKS

RANK	BANKS	TOTAL ASSETS (₹ CR)	NET NPA (%)	COST-TO-INCOME RATIO	ROCE (%)	CAPITAL ADEQUACY (%)
1	Karur Vysya Bank	1,05,585	0.40%	0.48	17.23%	16.67%
2	RBL Bank	1,38,432	0.74%	0.67	8.23%	16.18%
3	Bandhan Bank	1,77,842	1.11%	0.47	10.82%	18.28%
4	Karnataka Bank	1,16,085	1.58%	0.53	13.71%	18%
5	CSB Bank	36,056	0.51%	0.62	16.18%	24.47%

Data for FY24 **Source** BT-KPMG Best Banks and NBFCs Survey 2023-24